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Count(s)	Word(s)	Char(s)	Char(s) (WS)
Section 1	**3001**	**15271**	**18377**
Section 2	**2160**	**11106**	**13336**
Section 3	**1539**	**8306**	**9906**
Total	**6700**	**34683**	**41619**

Answer-to-Question-_1_

I. Were Alana and Bridget Partners?

If Alana is liable to Illinoilco for the chatbot's behavior (more on this later), then Bridget is fully liable if she and Alana were partners.

A partnership is an association of two or more persons who agree to divide profits and control. RUPA §102(11). The parties don't have to intend to form a partnership, and they don't need need to know the consequences of forming one (e.g. joint and several liability). All that matters is some division of profits and control-it doesn't need to be even.

Here, where there are two partners, perhaps Alana and Bridget divided control by spheres of duties. Alana was in charge of the AI, and Bridget was responsible for business development. One problem with the control theory, however, is that by the time Alana and Bridget started talking, the AI seemed fully developed. It isn't clear what Alana was doing other than letting Bridget use a product, so maybe this is more like a buyer-supplier relationship than a partnership.

There might also be problems with the division of profits. Any division of profits is fine, just as long as it was agreed to by the parties. But it's unclear that the parties actually agreed to any division of profits. Alana would return the $1 million once the AI made it from Bridget's use of the service, so this seems more like an agreement for an interest-free loan. And putting conditions on a loan when a creditor is acting to protect her interest in it doesn't establish a partnership because the parties didn't agree to carry on as co-owners for profit. *Martin.* And the statement that "we can talk about what to do with the extra" would likely give courts pause, as a partnership can't be premised on one partner having discretion to give profits to another. *Fenwick.* Here, Bridget could completely stiff Alana. "We'll talk about it" could lead to Alana getting zero profit.

Presumably, because Bridget likely has more money, Illinoico might try to argue this was a service partnership. But as noted, the elements of co-ownership and division of profits likely aren't satisfied. Further, service partnerships work only in a minority of jurisdictions. But assuming we're in such a jurisidiction, it seems like Alana gave a service (use of her AI) and Bridget all the capital. But even if Alana were to give a small amount of money (and there's no indication she did), the service partnership would be destroyed. So if a court disagrees and concludes there was an agreement for co-ownership and division of profits, Bridget is potentially in big trouble if it's a service partnership jurisdiction (though really it's the same regardless of partnership type because of joint and several liability).

But if there is partnership, Bridget and Alana are in trouble. All partners are agents of the partnership. *Stroud.* Bridget might argue that the partnership's ordinary course of business extended only to using AI for use by her LLP and the subsequent corporations. But presumably, part of such partnership would be getting more capital for the AI, and sending it to more users to improve its abilities and performance. As such, a court might be reluctant to conclude that allowing Connor to license the AI was out of the ordinary scope of business.

If Bridget is on the hook for Alana's mistake as partners, Bridget might sue Alana to get some of the money back. Alana might be judgment proof, however. She might have a valuable asset in the AI she

created, though.

II. Was Alana Bridget's Agent

Even if Alana and Bridget didn't form a partnership, Bridget might still be liable if Alana was Bridget's agent. To form an agency relationship, it's necessary to establish assent, benefit, and control. Assent and benefit are easy. Restatement Third of Agency §1.01. Assent could've been manifested through writing, speaking, or conduct. Restatement Third of Agency §1.03. Here, Bridget asked Alana for the AI, and Alana manifested her consent to so act. Benefit is easy-Bridget is using the AI to restructure her business. Control is tricky. Sometimes it can be premised on a condition, *Doty*. But even here that's hard. Bridget just asked for the AI and gave a price. There was no conditions on what Alana had to do, or on what she couldn't do. And it doesn't seem like Bridget controlled anything Alana did, other than perhaps setting the $1 million future target. Compare *Cargill.* So this may be more of a buyer-supplier relationship than an agency relationship.

But if an agency relationship were to exist (sometimes, as in *Doty*, the court will make the party with deep pockets pay), it's still unclear if Bridget is liable.

Let's assume that Alana committed a tort, maybe by negligently allowing Connor to license her product-as owner, perhaps she had a duty to look after it (which might apply even if Connor licensed it without her permission). And even if not, she probably had a duty to prevent her chatbot from uttering offensive slurs. For Bridget to be responsible for Alana's torts, Illinoilco (or the individual victims of this tort) would have to establish there was agency plus control. Assuming for argument's sake that agency is satisfied, there would be difficulty establishing control. First, it doesn't seem like Alana was Bridget's employee. Alana isn't really getting paid by Bridget, Bridget doesn't own the AI or any of the software/tools Alana needed to develop it, Alana doesn't appear to be getting any other benefits like healthcare or a pension, and Alana doesn't appear to be working at an office provided by Bridget. It also isn't clear that Bridget is on the hook for Alana's ordinary liabilities. Hence, Alana almost certainly wasn't Bridget's employee.

Even if one could argue that Alana was an employee, she likely wasn't acting in the scope of her employment in giving the AI to Illinoico or in programming it in such a way that it uttered slurs. Under any test she wasn't. First, the common law test: this was likely more a frolic than a detour, since Bridget probably had no conception Alana would be working with others. The scope of Alana's "employment" was setting up the AI for Bridget's use; dealing with others is well outside the outer bounds of that. Giving the AI to Illinoilco and programming it to utter slurs also is not effectuating Bridget's purpose, which is AI for her use to reorganize her business. The strongest argument is foreseeability, *Ira S. Bushey & Sons*- A I is often used by many people, and it makes lots of mistakes. But it probably wasn't foreseeable that Alana would be under Connor's influence, Connor would give it out, and that, even accounting for mistakes AI makes, it would utter offensive slurs at all of Illinoilco's customers.

Maybe, though, Alana is more like an independent contractor. She did a discrete job for Bridget. The problem is again, it might still be more of a buyer-seller relationship. But lets assume that something was involved-maybe Alana had to install the AI. The problem, even assuming that Alana was Bridget's

independent contractor, is that the tort wasn't commited in the process of serving Bridget. But for the sake of being thorough, let's assume that licensing out the AI was in service of Bridget-maybe more users imputting and feeding the AI makes a better product, and Bridget would've wanted this. It's unclear that Bridget retained any control over Alana; indeed, it seems that once Bridget had use of the AI, she retained no control over Alana besides Alana having to possibly eventually return the $1 million. Creating AI likely isn't nuisance per se. Perhaps Bridget retained an independent contractor. Given AI's well-documented myriad mistakes, it might be reasonable to expect that an AI developer could be on the hook for millions (e. g. malpratice suit when AI hallucinates a brief). So maybe Bridget retained an incompetent contractor if Alana has no way of meeting her potential liability. *See Toti.*

There's also the possibility of a breach of contract claim. Presumably, when Connor licensed the AI to Illinoilco, this constituted a contract. The problem for Illinoilco is that Connor wasn't Bridget's agent; indeed, it's unclear from the fact pattern that Bridget and Connor knew the other existed at the time of the contract.

So for Bridget to be liable for Connor's contract, there must be agency plus authority. As mentioned, Connor wasn't Bridget's agent. But if Alana was Bridget's agent, maybe Connor was her sub-agent. *See Mill Street Church of Christ.* In such a case, the most likely route to establishing authority is probably actual implied authority. Could Alana have believed that Bridget wanted her to deal with her academic advisor in this way? Probably not. Bridget presumably knew and understood, given Alana is a student, that faculty advisors helped her along the way. But it's unclear that it was necessary to involve Connor in all this based on the nature of the job, and unlike in *Mill Street Church of Christ*, it doesn't seem like Bridget had previously given Alana powers to deal with third parties/sub-agents, or that Bridget understood she would do so. So there might be a contract claim based on Connor being a sub-agent of Alana, and Alana being Bridget's agent, but the claim is weak.

The contract claim might be premised on inherent authority if Connor was a sub-agent, since the courts might want to make someone pay for this mess and Bridget might be the best option. But *Watteau* isn't good law in the United States because courts expect businesses like Illinoilco to protect themselves in other ways and price in that protection.

III. Claims Against Connor

As the person who licensed the AI, Connor almost certainly committed a tort of some kind. The problem is, it's hard to see what claims Bridget can make against him. Bridget and Connor certainly weren't partners; they had no conversations, so there couldn't have been an agreement to carry on as co-owners for profit. And because they had no interactions, there couldn't have been an agency relationship. Maybe the best Bridget can do is direct Illinoilco to Connor (and if she is liable, to go after him).

But maybe Bridget could redirect any claims against herself to Connor. There is an arguable case the Alana was Connor's agent. Even if Connor exploited Alana, it seems like there was assent that Alana would act on Connor's behalf (evidenced by the fact that Connor kept giving Alana instructions) and Alana would serve him and manifested that assent.(evidenced by the fact that she did so). Given Connor's role as

Alana's academic advisor, it seems like the control element is satisfied. And the benefit is obvious-Connor got the money Illinoilco paid when he licensed Alana's AI.

So for Connor to be liable for Alana's tort (in faultily programming the AI), there must be agency and control. Let's assume (see above) that agency is satisfied. Was there control? We don't know if Alana was Connor's employee; we know nothing about payment, tools, office location, and benefits. But if Alana was Connor's graduate assistant, that might suggest an employment relationship. And even if Alana was more of an independent contractor, who did specific tasks for Connor, the fact that Connor exploited her and was a domineering presence in her life might suggest her exercised control over her activities, thus making him liable for her torts. *See Toti.*

Of course, as principal Connor is liable for his own contracts. If he entered into a contract with Illinoilco, Illinoilco can sue him directly for breach of contract.

IV. Lincoln, Douglas & Grant LLP

LDG is dissolved, but the exact timeline of events is unclear. When it says "meanwhile," does that mean it dissolved before the tort and breach of contract against Illinoilco and its customers. Assuming that Bridget bears some liability for what happened, as a partner using AI services in the ordinary course of business, ordinarily the other partners would also be liable, jointly and severally. Not only could Illinoilco go after all the partnership's assets, it could take everything the partners have. But this wasn't a general partnership. It was a limited liability partnership. Accordingly, the airlocks probably prevent Illinoilco from going after Bridget's partners.

V. The Corporations

If Bridget can't pay up (or isn't personally liable), Illinoilco and the offended customers who were the recipients of the slurs might go after the 1000 different corporations. Assuming that the plaintiffs can show that their harm is traceable to Bridget's decision to use AI for her business, the corporations might be liable. Except the corporations were presumably formed after all this happened. Nonetheless, assuming that the corporations still bear some blame for what happened, it'll be difficult for plaintiffs to pierce the corporate veil, vertically, less so horizontally

First, the plaintiffs probably can't go from the corporations to Bridget personally. Even if the purpose of creating 1000 corporations was to avoid liability, it doesn't matter: absent evidence of fraud or co-mingling of assets, the veil won't be pierced. *Walkovszky.* And the *Sea-Land* factors don't counsel in favor of piercing the veil. The fact pattern says nothing about whether corporate records of formalities were maintained. And we don't know if they were undercapitalized. And even though all the shares go to Bridget, *see Sea-Land*, that might not necessarily constitute co-mingling or one corporation treating another's assets as its own. And it doesn't seem like adhering to the existence of a serparate corporate existence would sanction fraud or promote injustice. *Sea-Land.*

Second, (assuming plaintiffs can properly identify one corporation as being responsible for these injuries), they might be able to pierce the veil horizontally. If plaintiffs have a claim against one of the corporations, they might be able to get the assets of the others. The smaller corporations aren't fragments

of a larger corporate entity, *see Walkovszky*, but some of the *Sea-Land* factors counsel in favor of piercing the veil horizontally. Chiefly, each partner is paid based on a percentage of the aggregate profits from the 1000 corporations. This constitutes a co-mingling of funds and assets among corporations. This might also be one corporation treating another's assets as its own, since the payment of each manager of a corporation is necessarily dependent on what other corporations are making. Together, this likely satisfies *Sea-Land*'s requirement that the unity of interest and ownership is such that the seperate personalities of the corporation and other corporations no longer exist. But it's unclear if the *Sea-Land* requirement that ahdering to the fiction of a seperate corporate existence would sanction fraud or injustice is met here. If people wanted to go after more of the corporations, they'd have to allege more than just non-payment, because that's an issue in every case where plaintiffs want to pierce the veil. *Sea-Land.* Here, it's unclear why Bridget structured the business association this way. Presumably, she wanted all the shares. But that's not the sort of injustice like fraud, undermining adverse possession rules, allowing former partners to skirt legal rules, or unjust enrichment that allows for piercing the corporate veil in the interests of justice. *Sea-Land.*

VI. Bridget's Management Decisions

Bridget's biggest exposure to liability probably comes from her management decisions.

First, as managing partner, Bridget transformed LD&G LLP into 1000 different corporations. Because she was managing partner, I will assume there was a partnership agreement, and UPA §18(e) and RUPA §401(a) thus don't apply (hence allowing for different degrees of control/rights in management as deviations from defaults). Still, the partners must be unanimous in killing the partnership, and even though there was a contractual agreement with all of them pertaining to the management of the corporations, nothing in the fact pattern tells us the partners unanimously agreed to kill the partnership.

Second, the partners might have claims for breach of fiduciary duty against Bridget. First, though they are hard to win, they might have a duty of care claim and assert that she shirked by not doing more research and due diligence before using Alana's AI program, which turned out to be faulty and lead to the restructuring of the business. This might be compounded by the fact that she promised $1 million to a college student. They might sue over the amount alone, arguing that the $1 million should've stayed with the partnership (again, that would be a hard claim to win). Within Bridget's role as managing partner, she also had a duty to disclose new opportunities. *Meinhard.* Defining the opportunity with precision is difficult here, but we can assume it's the use of AI to restructure the law firm. Of course, the other partners eventually found out, but it seems like Bridget might've kept it from them, so that when the AI was ready, she could spring it on them immediately. There's also an argument that as a partner, Bridget breached her duty of good faith. In working to destroy the partnership while she was a partner, she breached it. Also, she presumably communicated with her law firm clients to leave the partnership and join her new corporations, potentially violating her duties of loyalty. *See Meehan; but compare with Town & Country*, and its approach to the grab and leave practice in agency broadly. Also, due to her immediate restructuring, it's clear that Bridget thought about dissolving the partnership when she recruited Alana's services. So maybe,

in a sense, she competed with the principal (the partnership). Also, as an agent of the partnership, Bridget wwas only in a position to use Alana's services and pay her $1 million through her position as managing partner (unless she can show she would've done that completely on her own, with her own $1 million for a college student's AI program). Given her ownership of all the shares of the 1000 corporations, it seems like she used her position as agent of the partnership to enrich herself, when those profits belonged to the principal. *Reading.* If Bridget breached her duty of loyalty, courts will punish that severely. *Reading.*

----------ANSWER-1-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-2-BELOW----------

Answer-to-Question-_2_

Because GraftKings is a publicly traded corporation in Delaware, I am focusing on Delaware law pertaining to publicly traded companies, and their officers and directors (plus some law on the fiduciary duties agents owe, which is applicable in other contexts). Nothing indicates that we're dealing with any partnerships or closely held corporations, so I am putting the jurisprudence pertaining to those business associations to the side.

I. Duty of Care in Hiring Yves

First, this minority shareholder will probably bring a derivative suit against Xavier, the rest of the board and giving him double the salary he would've gotten at Capitol Capital. But it'll be hard to the shareholders to get past the business judgment rule. Absent fraud, illegality, or self-dealing, courts won't disturb an honest business judgment. *Shlensky.* So the business judgement rule will serve as a presumption that the decision to hire Yves was constituted an honest business judgment by an officer/director. This reflects DGCL § 141(a), which entrusts the management of business affairs of a Delaware corporation to its board of directors. *See Van Gorkom.* There appears to be nothing fraudulent or illegality about hiring Yves, so maybe they'll argue self-dealing because Yves is close with Xavier's son. But this isn't the type of connection that constitutes self-dealing. Given how many boards deal with officers and fellow board members on friendly terms, conferring a corporate benefit onto the Board Chairman's son's fraternity brother likely doesn't constitute an indirect interested insider transaction.

But maybe there was carelessness here, giving rise to a duty of care claim. *Van Gorkom.* Assuming GraftKings doesn't have a DGCL §102(b)(7) provision protecting it from care claims (in which case a care claim can't go anywhere), the shareholders might allege that the facts here are similar to *Van Gorkom.* Xavier appears to have done no research into Yves' past; given his college reputation, finding out about his

checkered history presumably would've been easy. And Yves did no research to indicate that doubling Capitol Capital's salary made sense. *Van Gorkom* isn't really good law anymore, but it doesn't appear that Xavier did the minimal steps-having lawyers produce reports and a long paper trail-that directors can take to show their process and defeat care claims.

There might also be non-feasance on the part of the other directors. We don't know how many directors GraftKings has, but it seems like Xavier did all this-nothing in the fact pattern indicates they did literally anything surrounding the hiring of their president. Non-feasance is hard to win, but the shareholders might bring it up here. *See Francis.*

And these claims almost never succeed, but the minority shareholders might bring a good faith claim and argue that Yves wasn't hired in good faith. But they can't show that Xavier hired him with the subjective intent to do harm, or that there was a breach of the duty of care stemming from gross negligence or an intentional derilection of duty. *Disney.*

So it seems unlikely that the minority shareholders can get past the business judgment rule. If the business judgment rule applies, "cool and, you know, smart" might be enough to cut it, and GraftKings probably had to pay Yves a lot of money to get him to leave Capitol Capital.

Assuming the minority shareholders can get past the business judgment rule, their claims likely still fail. True, it doesn't appear Yves' hiring was clensed under DGCL § 144. But it's not clear this is an interested insider transaction or corporate opportunity. And as discussed, the care claim won't work. True, unlike in *Disney*, there is no indication that Yves did his work with ability. But there also wasn't incentive for Yves to perform badly, and maybe GraftKings can argue that they couldn't have predicted how Yves would behave. And just as in *Disney*, it appears Yves was a valuable employee that was wanted elsewhere.

Thus, in a suit against Xavier, the other directors, or GraftKings relating to hiring Yves and paying him double what he would've made at Capitol Capital, the minority shareholders are unlikely to succeed. But if a suit against Xavier or another director can succeed, Xavier or those other directors may be personally liable. *See Van Gorkom.*

II. Suits Against Yves and Relating to his Sexual Harrassment and Wagers

Minority shareholders will probably sue Yves over his conduct as President (this is in addition to his colleagues who might sue him for sexual harrassment). There was no honest business judgment in his choosing to harrass employees. Doing so becayse he wanted "some social company" likely constitutes some form of an egregious violation of care (since his harrasment puts the company on the hook for massive civil damages); perhaps, though good faith is nearly dead, sexual harrasment constitutes the sort of intentional derilection of duty that was contemplated in *Disney.*

Back to agency problems, if GraftKings as a whole was Yves' principal, it's not clear they're liable. Sexual harrassment (assuming it's a tort) likely isn't in the scope of employment, no matter what test is used. It's probably an intentional tort, doesn't serve the employer's purpose, and is most likely a frolic (not a detour). Hence, the victims of Yves' harrasment likely can't recover against GraftKings.

The victims of Yves' harrassment, though, might bring a duty of care claim against Xavier and the other

directors for hiring Yves. Similar, though, to the minority shareholders, their duty of care claim likely won't work. More importantly than the merits (which was relevant for the minority shareholders), though, is the fact that it's not clear Xavier and the other board members had a duty of care to other employees of the company, the victims of Yves' harrassment. If we were in a closely held corporation in a *Wilkes*-type jurisdiction, maybe the court would be more willing to fashion an equitable remedy and make some conclusion along the lines of: directors owe a duty of care to their colleagues to protect them from the actions of wayward employees, and to do reasonable investigations to that effect. But GraftKings is a Delaware corporation, and Delaware Chancellors (despite being a chancery court) don't like to make such decisions based on grounds of equity.

The minority shareholders will probably also sue Yves for his wager. This was a breach of the duty of loyalty. First, it is likely that Yves was only able to place this bet through his position as an agent of GraftKings. Indeed, if Yves had any advance notice that he was being fired, he abused his position as an agent for personal gain. As such, the profits belong to GraftKings, and the courts will punish this breach severely. *Reading.* Second, an insider bet like this might constitute a form of fraud and bad faith (bad faith is generally dead, but these facts are egregious). *See Disney.*

The shareholders might also bring a claim asserting that it was bad faith for the Board not to fire Yves sooner, as soon as they learnd that he was harrassing colleagues. But bad faith is almost impossible to win; indeed, even gross negligence alone isn't enough. *Disney.* It would be hard to argue that the directors subjectively wanted to harm the company, or that there was a dereliction of duty. *Disney.* Given the harm Yves caused other employees (potentially exposing GraftKings to enormous civil liability and terrible press), maybe they can argue lack of due care resulting from the gross negligence of failing to find out about the harrassment and act. *See Disney.* But this claim likely won't succeed. They launched an investigation into Yves, conducted by the general counsel. Care can be obviated by procedural safeguards, so the investigation likely saves the board here. Likewise, the board might assert that it wasn't a violation of care at all not to fire Yves-what if they fired him and as a result, the negative press coverage caused the stock price to drastically drop? This claim is, sadly, unlikely to succeed.

It's also an enormous stretch, but there might also be a claim against Yves for taking a corporate opportunity (I emphasize that this claim rests on interweaving several inferences in a way that our cases don't). First, let's assume that the corporation was entitled to the fruits of Yves' labor. By making the wager, and thus being disincentivized from working his best, Yves took an opportunity from the corporation (his hard and faithful work), in exchange for the millions he had riding on the bet. This is conceptually tricky, because the corporate opportunity isn't easily economically defined (maybe in reference to his salary, and the money he made from the wager), and he deprived the company of it through his lack of incentives by the wager. But if a court grants that by disincentivizing himself from working hard and effectively, Yves took a corporate opportunity (GraftKings' right to his labor), we can then proceed to the *Broz* factors. First, it seems like GraftKings was financially able to undertake the opportunity of having a hardworking President-it offered him his salary, after all. Second, having a faithful, effective CEO is to GraftKings' advantage; it isn't in line with the gambling business, but presumably it's in every business's line of work to have good officers. Third, GraftKings had an interest and a reasonable expectancy in Yves

being an effective CEO. Finally, by taking the possibility of making money through the wager, Yves' self-interest was put into conflict with his fiduciary duties to GraftKings. *Broz.* Indeed, *eBay* modified *Broz*'s fourth factor to make it easier to satisfy-essentially, by taking the bets, Yves was compromised. Again, this theory of a corporate opportunity rests on some shaky premises. But because Yves' actions were so egregious and arguably deprived GraftKings of an enormous asset-an effective president-a court might find the *Broz* requirements satisfied if it views Yves' labor as a corporate opportunity that was taken through his wagers.

III. Zetta's Takeover

First, the minority shareholders will likely allege that GraftKings had to accept Zetta's offer for $15 per share. Directors have a fiduciary duty to take the best offer, whenever it may come in, using their business judgment. *Omnicare*. But best doesn't necessarily mean highest. Here, though, it's unclear whether, using his business judgment, Xavier thought this wasn't the best offer. Perhaps he was entitled to resist the takeover because he thought Zetta would do damage to the company. Perhaps Xavier also believed that the stock would soon exceed $15, and by resisting he was getting a better deal for the shareholders. But all of these claims are undermined by the fact that FanTool was the second largest ganbling business. And in any event, $5 and $15 is a large difference. Even granting business judgment deference, this might be a harder claim for Xavier to defend. And then there's the statement, "When have you ever bought a company before? Get lost." This suggests that Xavier didn't want to sell solely because he didn't like Zetta, which is a prohibited reason-personal animosity doesn't trump Xavier's obligation to the shareholders to accept the best offer possible. *Omnicare.*

There's also the problem of Xavier leaking the report of the investigation into Yves. If Zetta was going to buy all the shares, he was going to be buying everything, including the potential skeletons in the closet like Yves. As such, the possibility of major liabilities was baked into Zetta's assessment in offering $15 per share. By spiking the ball to get Zetta to abandon his efforts to acquire GraftKings, Xavier probably breached his fiduciary duty to get the best price for the shareholders. *Omnicare.* Xavier might've also breached a duty of loyalty in releasing the report. By releasing the report and hence getting to stay on, Xavier benefits by continuing in his position. He enriched himself at the shareholder's expense. Now, to be clear, this "transaction"-giving the report to Zetta-didn't involve money (or something obviously worth money), so probably isn't an interested insider transaction or a corporate opportunity.

It's unclear if there was a *Revlon* moment in this case. Zetta simply saying "there's nothing you can do to stop me" might not be enough. But given that Zetta offered $15 per share, coupled with the fact thatXavier felt the need to do something so drastic to stop him, the offer of $15 or Zetta's statement is likely enough to constitute a *Revlon* moment. As such, Xavier's duty was then to serve as auctioneer, and get the price as high as possible for the shareholders. He breached this by disclosing information that not only scuttled the whole deal, but could also have seriously diminished the share price. *Revlon.* Leaking the report seems to have served no purpose other than stiffing the potential buyer, so the minority shareholders can sue because Xavier didn't maximize their value.

In any event, Zetta's hostile takeover failed because of Xavier, and GraftKings' shareholders likely lost

out as a result. Xavier's actions,for all intents and purposes, ending the bidding for GraftKings in contravention of *Omnicare.*

----------ANSWER-2-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-3-BELOW----------

Answer-to-Question-_3_

Trevor Jackson's review of *Abundance* implicates key doctrinal and policy questions in American corporate law. While Klein and Thompson might have diagnosed problems with the state's ability to build, the American regulatory scheme allows for appropriate innovation. Arguably, the American regulatory framework for businesses does not regulate enough. And Jackson is correct in saying that the regulatory framework for American businesses has acquiesed and spurred the rise of powerful oligarchical interests. Further deregulation of American businesses would mark a drastic shift from our already permissive system, and would endanger our economy and the ordinary Americans who rely on it.

First, American corporate law gives wide lattitude to business interests. For example, the business judgment rule affords corporate interests distinct lattitude to make decisions that allow for innovation. And the business judgment rule is not based in natural law or a natural consequence of the business-our friends in Europe do not have such a rule, at least not to the extent we have it. As a result, European investors are much less likely to lose everything because of catostrophic business decisions, but European businesses innovate less. American jurisprudence has struck a balance: we'll take more innovation, but that means we also must accept many more major mistakes.

Other elements of American corporate law afford businesses wide lattitude. The decimination of the duty of care is one example. American courts don't conduct substantive assessments of when care has been breached. *See Disney.* Instead, American courts let businesses get by on process alone. *See Disney*; DGCL § 141(e). Likewise, sophisticated businesses can avoid duty of care suits almost entirely through DGCL § 102(b)(7).

And in terms of giving businesses wide lattitude to innovate or conduct large transactions, American corporate law generally gives them the certainty and formality to organize their affairs in advance, even when people get stiffed. For example, so much of the American economy depends on closely held corporations (e.g. Koch Industries), and those entering closely held corporations must be able to organize their affairs in advance. When *McQuade* stuck to the old rule that directors must exercise their judgment contemporaneously, all the time, courts began to deviate from that because people couldn't order their businesses. As such, we have cases like *Galler*, which lay out conditions where those wishing to enter a

closely held corporation may bind themselves in advance, hence leading them to enter such corporations and spur economic growth. In a similar vein, American law generally doesn't avoid the formalities of incorporation. Delaware, and most other jurisdictions, reject the *Wilkes* approach and its equitable considerations-if you want to enter into a corporation and file with the secretary of state, you have a corporation, not a partnership. The same is true of mergers, and Delaware's equal dignity jurisprudence for different aspects of its corporate law. Delaware has a mechanism for statutory mergers, so won't help people escape them by relying on DGCL § 271's asset sale provisions; in a similar way, a merger under § 251 isn't to be analyzed in reference to § 151's redemption provisions. Accordingly, with American law, businesses are free to invest and organize their affairs with the knowledge that in many cases, formalism will win out.

Other tools also allow for enormous economic growth. Limited liability is a major one: through a concession from the sovereign, lots of individuals are free to invest however much or little they want into corporations. The corporation, and limited liability, aren't found in nature, and it is a distinct creation of the state that allows for this massive investment. Even when people get stiffed, the fiction of the corporate person and limited liability holds true, allowing people to generate economic activity with the security that they won't lose everything. *Walkovsky.* And though partnerships expose people to greater risk, the state incentivizes economic activity through not having that much regulation around them-there's very little effort involved in entering into a partnership, and near-frictionless creation of a business association allows for greater economic activity (accompanied by a tax benefit).

Finally, the state allows businesses to largely regulate their own affairs. Corporations are free to pursue the interests they please, even if they're not ostensibly related to an obvious economic purpose. *See A.P. Smith*; DGCL § 122(9). And when courts have reined in corporations, it has been to enforce a Friedmanian view that their purpose is increasing sharehoolder value. *See Dodge.* The management of corporations also needn't be that responsive to shareholders. After *Dodge*, the decision to pay out dividends is one exclusively for the board. Boards have some leeway to deny shareholders the right to submit proposals, and boards may spend lots of money to defeat proposals that make it. *See* example of defeating Catholic nuns' inoffensive proposal. Management has wide lattitude in spending corporate assets in proxy fights over policy. *Levin.* And S.B. 21 would narrow even who is entitled to look at corporate books and establish minimum shareholding requirements. And management can decide to resist takeovers. *Cheff.*

All this is to say, American law gives businesses lattitude, sometimes lattitude through certainty, but lattitude nonetheless. Through the various legs up given to business, the American system has led to an enormous economic machine and tremendous innovation.

But calls for further deregulation are mistaken; if anything, further regulation is needed. American corporate law is filled with examples of legislatures having to respond to the jurisprudence, and of ordinary people getting stiffed. In the process, corporations have played an outsized role in our democratic system.

Often, other actors have been forced to respond in American corporate law when people get hurt. For example, though there are sound economic reasons for maintaining the corporate veil, it was the legislature that had to increase minimum taxi insurance coverage so people who get hit by taxis aren't destitute.

Walkovsky. And it was the Williams Act that sought to address terrible corporate practices. Requirements such as SEC Form 13 when acquiring 5% of a public company, keeping tender offers open for 20 days, and having to give the same price to everyone were in response to people abusing tender offers to prey on vulnerable investors who didn't want to end up in the lurch.

Indeed, American corporate law is full of examples of people who don't know what they're doing getting the short end of the stick. Take the facts in *Unocal*. Cash and junk bonds worth the same amount could've inspired a stampede among investors who may be less sophisticated or frankly scared, if much of their lives depend on this investment being profitable. Or take *Kamin*. The court stuck to the formalities and deferred to Amex's decision, which harmed shareholders, even though those reasons were almost certainly pretextual (and didn't hold water), and the Amex board had insiders who benefitted at the shareholders' expense. And corporations know how to use formalities to their advantage and the shareholders' detriment. Even though the actions in *Rauch* seemed exactly like a redemption under DGCL § 151, the merger provisions of § 251 held firm, and the shareholders missed out on a lot of money.

So where does this all leave us? We have a system that has tried to balance a race to the top and a race to the bottom. We've encouraged people to invest, and given them ample leeway to do so. But it's not enough for some. Despite the enormous lattitude afforded, some corporations want even less regulation. For example, Tesla seems to want no accountability when a majority of its shareholders (who have survivorship bias) approve a $1 trillion pay package for Elon Musk. In a similar way, Andreesen Horowitz's decision to leave Delaware and reincorporate in Texas seems like a blatant effort to avoid even a modicum of accountability that Delaware courts give, especially against controlling shareholders. *See Sinclair.* Even having to produce documents (but not actually reading them) ahead of decisions affecting all the retirement funds that have invested in your shares, *see Disney*, is too much for some.

As *Abundance* observes, freedom is necessary to build things. And American corporate law gives businesses a lot of freedom to build, and to spur economic growth. But ultimately, the business organizations we rely on are creatures of the state. As such, the sovereign is right to demand some accountability. *See Citizens United* dissent. There are myriad examples in American corporate law where businesses hurt people and get away with it. Sometimes that is unavoidable. But it shouldn't be exacerbated by further deregulation. If anything, we afford companies too much leeway, leaving investors, and ultimately the country, worse off. Indeed, our modern American era that sees a massive boom in technological (particularly AI) conglomerates seems to rest on sinking sand. It appears America forgot-or never learned-its lessons from the 1929 Crash, or the 2008 Housing Crisis. Left to their own devices, American business often makes bad decisions. Indeed, the 2008 Housing Crisis inflicted untold misery onto America, and American businesses, yet American business either couldn't foresee or could not prevent it. Efforts must be taken to ensure that companies like Nvidia don't lead us into a death spiral. Further deregulation, when arguably further regulation is needed, will only hasten Americans' discovery that so much of our economy rests on shifting sand.